

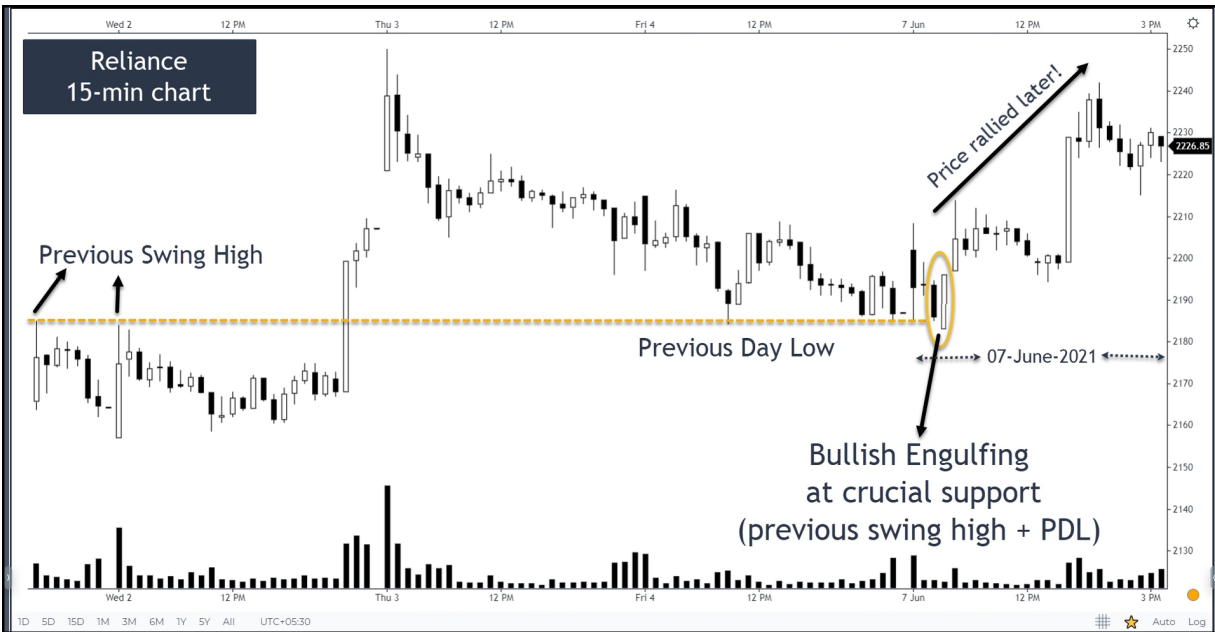


Image 4.12 – Bullish Engulfing Pattern in Reliance

Image 4.12 shows one more example for Bullish Engulfing. On 7th June, the price opened near PDL, which is also the earlier swing high. So, automatically, importance of this level increases.

The price displayed a bullish engulfing at this level, which clearly shows that price is taking the support and buyers are strong. Later, the price rallied to the upside for the rest of the day.

Bearish Engulfing is also similar to bullish engulfing but in the reverse order. In bearish engulfing, the first candle will be a small bullish candle and the second candle is a big bearish candle that engulfs the first bullish candle. When bearish engulfing patterns occur near a major resistance zone, it indicates the rejection of price (failed to trade above resistance). Hence, there is a high probability of price going in the south direction.